

SECOND SEMESTER DIPLOMA EXAMINATION IN ENGINEERING
AND TECHNOLOGY

FINANCIAL ACCOUNTING II
MODEL QUESTION PAPER – SET-1

Time: 3 hours

Maximum Marks: 75

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 Marks)

1	Favourable balance in Cash book means? a) Credit balance b) Debit balance c) Bank Overdraft d) Equal balance	M 1.01	R
2	On the bank statement, cash deposited by the company is known as a) Credit b) Debit b) Liability d) Expenses	M 1.02	R
3	Bank reconciliation statement compares a bank statement with _____ a) Cash payment journal b) Financial statements c) Cash receipt journal d) Cashbook	M 1.02	R
4	If transaction is totally omitted from the books, it is called? a) Error of commission b) Error of principle d) Error of recording d) Error of omission	M 2.02	R
5	Disagreement of trial balance includes which errors? a) Errors of omission b) Wrongly totalling subsidiary books b) Compensating errors d) a and c only	M 2.02	R
6	When a Liability is decreased or reduced, it is registered on the a) Debit side or left side of the account b) Credit side or right side of the account c) Debit side or right side of the account d) Credit side or left side of the account	M 3.01	R

7	Which of the options is not an intangible asset? a) Land b) Patents c) Goodwill d) Franchise rights	M 3.02	R
8	Which bill is drawn and accepted in the same country? a) Trade Bill b) Foreign Bill d) Inland Bill d) Accommodation Bill	M 4.01	R
9	When the drawee signs the bill, it is considered as a) Accepted b) Retired c) Renewed d) Endorsed	M 4.02	R

PART B

II. Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24 Marks)

1	How is a Bank Reconciliation Statement prepared?	M 1.03	U
2	Explain Capital expenditure, Revenue Expenditure, Deferred Revenue Expenditure.	M 2.02	
3	Dr. Debtors ₹36000 Bad debts ₹3000 Discount allowed ₹ 1300 Provision for Discount on Debtors ₹1200 Find out Provision for bad debts at 6%. Cr. Creditors ₹ 24000 Discount Received ₹1800 Provision for Bad debts ₹4800 Show how this items appear in Profit and Loss account	M 3.02	U
4	Prepare Bank Reconciliation Statement. Cash book balance ₹12000 a) Cheque deposited but not cashed ₹ 2000 b) Cheque issued but not presented ₹500 c) Bank charges debited in the passbook ₹120	M 1.03	U
5	Debtors ₹5000 Bad debts written off ₹ 500 Provision for bad debts Previous year ₹ 2000 Provision required for current year 5% on debtors. Find out the amount debited in P &L account?.	M 3.04	U
6	Give journal entries to rectify the following errors? a) A credit sale of goods ₹240 to Anand has ben wrongly passed through the purchase book b) An amount of ₹2500 received on sale of machinery is credited to sales account	M 2.02	U

	c) ₹500 spent for repairs of a building was debited to the buildings account		
7	List the errors which will affect the agreement of trial balance	M 2.02	U
8	Mohan sold goods worth ₹3000 on credit to Rajan on 1 st Jan 202 and drew a bill for the amount at 3 months after date. Rajan duly accepted the bill and returned to Mohan on 4 th Jan. Mohan discounted the bill with bank pass journal entries in the books of Mohan?	M 4.04	U
9	Write journal entries when a bill sent to bank for collection.	M 4.04	U
10	Explain cash discount?	M 3.02	U

PART C

Answer all questions. Each question carries seven marks

(6 x 7 = 42 Marks)

III	What are the causes of difference between bank passbook and cash book balances?	M 1.02	R
	OR		
IV	From the following particulars, ascertain the balance that would appear in the pass book on 31 st December, 2010 : ₹ 1. Balance as per Cash book on 31-12-2010 9,000 2. Cheques issued but not presented 3,000 3. Cheques deposited but not cleared 2,000 4. Insurance premium paid by the bank, but not recorded in the cash book 580 5. Dividend received by the bank but not recorded in the cash book 780	M 1.03	U
V	From the following particulars, prepare a Bank Reconciliation Statement of Raju as on 31st March, 2021: Balance as per Pass Book on 31st March, 2021 is Rs.8,500. Rs.5,100 were issued during the month of March but out of these, cheques for Rs.1,200 were presented in the month of April, 2021 and one cheque for Rs.200 was not presented for payment. Cheque and cash amounting to Rs.4,800 were deposited in the bank during March but credit was given for Rs.3,800 only. A customer had deposited Rs.800 into the bank directly. The bank has credited Raju for Rs.200 as interest and has debited him for Rs.90 as bank charges, for which there are no corresponding entries in the Cash Book.	M 1.03	U
	OR		
VI	Bank Statement of a customer shows bank balance of 62,000 on 31st March, 2021. On comparing it with the Cash Book the	M 1.03	U

	following discrepancies were noted: - Cheques were paid into the bank in March but were credited in April: P-Rs. 3,500; Q-Rs.2,500; R-Rs.2,000. - Cheques issued in March were presented in April: X-Rs. 4,000; Q-Rs. 4,500. - Cheque for Rs.1,000 received from a customer entered in the Cash Book but was not banked. - Pass Book shows a debit of Rs.1,000 for bank charges and credit of Rs.2,000 as interest. - Interest on investment Rs.2,500 collected by the bank appeared in the Pass Book. Prepare Bank Reconciliation Statement showing the balance as per Cash Book on 31st March, 2021																																										
VII	Explain the types of errors? OR	M 2.01	U																																								
VIII	Prepare necessary rectifying entries? - The discount column on the debit side of the cash book posted to the rent a/c ₹ 25 ₹ 250 paid to Dinesh posted to debit side of Manohar's a/c - Payment of rent ₹ 260 debited to landlords personal a/c - Payment of 1000 to Rajesh posted to his credit as ₹ 100 - Purchase returns for ₹ 310 posted to the debit of purchase a/c	M 2.02	U																																								
IX	Following are the balances extracted from the books of Manish Gupta on 31st March, 2018: <table border="1" style="width: 100%; border-collapse: collapse;"> <thead> <tr> <th></th><th>₹</th><th></th><th>₹</th></tr> </thead> <tbody> <tr> <td>Capital</td><td>1,90,000</td><td>Cash at Bank</td><td>26,000</td></tr> <tr> <td>Drawing</td><td>7,000</td><td>Salaries</td><td>8,000</td></tr> <tr> <td>Plant and Machinery</td><td>1,20,000</td><td>Repairs</td><td>1,900</td></tr> <tr> <td>Delivery Vehicle</td><td>26,000</td><td>Stock on 1st April, 2017</td><td>16,000</td></tr> <tr> <td>Sundry Debtors</td><td>36,000</td><td>Rent</td><td>4,500</td></tr> <tr> <td>Sundry Creditors</td><td>26,000</td><td>Manufacturing Expenses</td><td>1,500</td></tr> <tr> <td>Purchases</td><td>20,000</td><td>Bills Payable</td><td>23,500</td></tr> <tr> <td>Sales</td><td>42,000</td><td>Bad Debts</td><td>5,000</td></tr> <tr> <td>Wages</td><td>8,000</td><td>Carriage</td><td>1,600</td></tr> </tbody> </table> Prepare Trading and Profit and Loss Account and Balance Sheet as at 31st March, 2018 after following adjustments are made: Closing Stock was ₹ 16,000.		₹		₹	Capital	1,90,000	Cash at Bank	26,000	Drawing	7,000	Salaries	8,000	Plant and Machinery	1,20,000	Repairs	1,900	Delivery Vehicle	26,000	Stock on 1st April, 2017	16,000	Sundry Debtors	36,000	Rent	4,500	Sundry Creditors	26,000	Manufacturing Expenses	1,500	Purchases	20,000	Bills Payable	23,500	Sales	42,000	Bad Debts	5,000	Wages	8,000	Carriage	1,600	M 3.04	A
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	ii. Depreciate Plant and Machinery @ 10% and Delivery Vehicle @ 15%. iii. Unpaid Rent amounted to ₹ 500. OR Prepare Trading and Profit and Loss Account and Balance Sheet from the following balances relating to the year ended 31st March, 2018: <table><tr><td></td><td>₹</td><td></td><td>₹</td></tr><tr><td>Capital</td><td>1,00,000</td><td>Wages</td><td>50,000</td></tr><tr><td>Creditors</td><td>12,000</td><td>Bank</td><td>10,000</td></tr><tr><td>Returns Outward</td><td>5,000</td><td>Repairs</td><td>500</td></tr><tr><td>Sales</td><td>1,64,000</td><td>Stock on 1st April, 2017</td><td>20,000</td></tr><tr><td>Bills Payable</td><td>5,000</td><td>Rent</td><td>4,000</td></tr><tr><td>Plant and Machinery</td><td>40,000</td><td>Manufacturing Expenses</td><td>8,000</td></tr><tr><td>Sundry Debtors</td><td>24,000</td><td>Trade Expenses</td><td>7,000</td></tr><tr><td>Drawing</td><td>10,000</td><td>Bad Debts</td><td>2,000</td></tr><tr><td>Purchases</td><td>1,05,000</td><td>Carriage</td><td>1,500</td></tr><tr><td>Returns Inward</td><td>3,000</td><td>Fuel and Power</td><td>1,000</td></tr></table> Additional Information: (i) Closing Stock was valued at ₹ 14,500. (ii) Depreciate Plant and Machinery by ₹ 4,000. (iii) Write off Bad Debts ₹ 5,000. (iv) A sum of ₹ 400 is due for repairs		₹		₹	Capital	1,00,000	Wages	50,000	Creditors	12,000	Bank	10,000	Returns Outward	5,000	Repairs	500	Sales	1,64,000	Stock on 1st April, 2017	20,000	Bills Payable	5,000	Rent	4,000	Plant and Machinery	40,000	Manufacturing Expenses	8,000	Sundry Debtors	24,000	Trade Expenses	7,000	Drawing	10,000	Bad Debts	2,000	Purchases	1,05,000	Carriage	1,500	Returns Inward	3,000	Fuel and Power	1,000	M 3.04	A
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XI	Following Trial Balance has been extracted from the books of M/s. Ram Prasad & Sons on 31st March, 2018: <table><tr><td>Particulars</td><td>Dr. ₹</td><td>Particulars</td><td>Cr. ₹</td></tr><tr><td>Machinery</td><td>4,00,000</td><td>Capital</td><td>9,00,000</td></tr><tr><td>Cash at Bank</td><td>1,00,000</td><td>Sales</td><td>16,00,000</td></tr><tr><td>Cash in Hand</td><td>50,000</td><td>Sundry Creditors</td><td>4,50,000</td></tr><tr><td>Wages</td><td>1,00,000</td><td>Interest Received</td><td>30,000</td></tr><tr><td>Purchases</td><td>8,00,000</td><td></td><td></td></tr><tr><td>Stock on 1st April, 2017</td><td>6,00,000</td><td></td><td></td></tr></table>	Particulars	Dr. ₹	Particulars	Cr. ₹	Machinery	4,00,000	Capital	9,00,000	Cash at Bank	1,00,000	Sales	16,00,000	Cash in Hand	50,000	Sundry Creditors	4,50,000	Wages	1,00,000	Interest Received	30,000	Purchases	8,00,000			Stock on 1st April, 2017	6,00,000			M 3.04	A																
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XIII	Vishal sold goods for ₹ 7,000 to Manju on Jan 05, 2016 and drew upon her a bill of exchange payable after 2 months. Manju accepted Vishal's draft and handed over the same to Vishal after acceptance. Vishal immediately discounted the bill with his bank@12% p.a. On the due date Manju met her acceptance. Journalise the above transactions in the books of Vishal and Manju. OR	M 4.04	U
XIV	On Jan 01, 2016, Shankar purchased goods from Parvahti for ₹ 8,000 and immediately drew a promissory note in favour of Parvathi payable after 3 months. On the date of maturity of the promissory note, the Government of India declared holiday under the Negotiable Instrument Act 1881. Since, Parvathi was unaware about the provision of the law regarding the date of maturity of the bill, she handed over the bill to her lawyer, who duly presented the bill and received the payment. The amount of the bill was handed over by the lawyer to Parvanti immediately. Record the necessary Journal entries in the books of Parvathi and Shankar.	M 4.04	U

SECOND SEMESTER DIPLOMA EXAMINATION IN ENGINEERING
AND TECHNOLOGY

FINANCIAL ACCOUNTING II
MODEL QUESTION PAPER – SET-2

Time: 3 hours

Maximum Marks: 75

PART A

I. Answer all questions in one word or one sentence. Each question carries one mark.

(9 x 1 = 9 Marks)

1	Bank reconciliation statement is prepared by? a) Banker b) Auditors c) Business man d) None of these	M 1.01	R
2	The acceptor of a <u>bill of exchange</u> is called: a) Drawer b) Drawee c) Endorser d) Payee	M 4.01	R
3	It is a period of time after which a bill becomes payable, is called: a) Maturity b) Grace days c) Tenor d)	M 4.01	R
4	Cash withdrawal from bank was ----- in Pass book a) Credit b) Debit c) No entry d) Added	M 1.01	R
5	Suspense account is opened when ____ does not tally a) Balance Sheet b) Profit and Loss Account c) Trial Balance d) None of these	M 2.03	R
6	A trial balance is prepared to locate a) Sales b) Errors c) Bank Balance d) Purchase	M 2.02	R
7	Expenses relating to sale of goods are shown in: a) Purchase account b) Sales account c) Manufacturing account d) Balance sheet	M 3.02	R
8	Carriage Outwards is an example of ----- a) Direct expenses b) Indirect expenses c) Capital expenses d) Reserve	M 3.02	R

9	Outstanding expenses are -----to the expenses a) Deducted b) Added c) Not considered d) Divided	M 3.02	R
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PART B

II. Answer any eight questions from the following. Each question carries 3 marks

(8 x 3 = 24 Marks)

1	Prepare Bank Reconciliation Statement. Pass book balance 12000 a) Cheque deposited but not cashed 2000 b) Cheque issued but not presented 500 c) Bank charges debited in the passbook 120	M 1.03	U
2	Debtors 9000 Bad debts written off 300 Provision for bad debts Previous year 700 Provision required for current year 5% on debtors. Find out the amount debited in P & L account?	M 3 .02	U
3	Why bank statement is essential in preparing a bank reconciliation statement?	M 1.02	R
4	What is the objective of the trial balance?	M 2.02	R
5	What kinds of errors are detected by the trial balance?	M 2.02	R
6	B owes A Rs.4,000 on 1st January 2018. B accepts a three months bill for Rs.3,900 being in full settlement of the claim. At its due date the bill is dishonoured. Noting charges Rs.50 are paid by A. Give the Journal Entries in the books of A and B.	M 4.04	U
7	What is meant by dishonour of a bill of exchange?	M 4.03	R
8	How Prepaid expenses are treated in final accounts?	M 3.02	R
9	From the following information, prepare the Trading Account for the year ended 31st March, Adjusted Purchases ₹ 15,00,000; Sales ₹ 21,40,000; Returns Inwards ₹ 40,000; Freight and Packing ₹ 15,000; Packing Expenses on Sales ₹ 20,000; Depreciation ₹ 36,000; Factory Expenses ₹ 60,000; Closing Stock ₹ 1,20,000.	M 3.04	U

10	Calculate Gross Profit from the following information:		M 3.04	U
		₹		
	Closing Stock	70,000		
	Wages	40,000		
	Salary	30,000		
	Sales	6,88,000		
	Adjusted Purchase	5,50,000		

PART C

Answer all questions. Each question carries seven marks

(6 x 7 = 42 Marks)

III	From the following particulars prepare a Bank Reconciliation Statement to find out the causes of difference in two balances as on August 31st, 2016 - Bank Overdraft as per Bank Statement ₹ 17,000 - Check issued but not encashed during the August ₹ 2,200 - Dividends on shares collected by banker ₹ 2,300 - Interest charged by the bank recorded twice in the Cash Book ₹ 500 - Check deposited as per Bank Statement not entered in Cash Book ₹ 3,400 - Credit side of the Bank column in Cash Book cast short ₹ 1,000 - Clubs dues paid by bank as per instruction not recorded in Cash Book ₹ 1,200 - Uncredited cheque due to outstation ₹ 3,900 OR	M 1.03	U
IV	On 30th June, 2014, the bank column of Mohan's Cash Book showed a debit balance of ₹ 12,000. On checking the Cash Book with bank statement you find that:- - Cheques paid into Bank ₹ 8,000, but out of these only cheques of ₹ 6,500 were cleared and credited by the Bankers upto 30th June. - Cheques of ₹ 9,200 were issued but out of these only cheques of ₹ 7,000 were presented for payment upto 30th June. - The receipt column of the Cash Book has been undercast by ₹ 200. - The Pass Book shows a credit of ₹ 330 as interest on investments collected by bankers and debit of ₹ 60 for bank charges.	M 1.03	U

	e. On 29th June a Customer deposited ₹ 3,000 direct in the bank account but it was entered only in the Pass Book. Prepare a Bank Reconciliation Statement.		
V	On 30th June 2014, the bank balance as per Seena's Cash Book was ₹ 1,500. On comparing with the Pass Book the following information was received:- - Cheques amounting to ₹ 7,290 were issued on 28th June, of which one cheque of ₹ 1,300 was presented in the bank for payment on 4th July. - Cheques deposited into bank for ₹ 10,000, but of these cheques for ₹ 4,000 were cleared and credited in July. - Interest and Dividend on investments ₹ 580 collected by bank and credited to his account but he did not have any information for this. - Life Insurance Premium ₹ 750 paid by bank according to his standing orders. - Bank Charges ₹ 25 not recorded in the Cash Book. Prepare a Bank Reconciliation Statement OR	M 1.03	U
VI	On 30th June 2014, the Cash Book of a trader shows a bank overdraft of ₹ 2,500. Following informations are available:- - Cheques amounting to ₹ 14,600 had been paid to the bank, but of these only ₹ 12,200 were credited in the Pass Book, up to 30th June, 2014. - He had also issued cheques amounting to ₹ 10,000, out of which only ₹ 3,600 had been presented for payment. - A cheque of ₹ 500 which he had debited to the bank account was not sent to bank for collection by mistake. - There is a debit in the Pass Book of ₹ 10 for Bank Charges and ₹ 50 for interest. - A customer directly paid into his bank ₹ 1,000, but it was not shown in the Cash Book. - Bank has paid insurance premium of ₹ 400 according to his instructions, but this is not recorded in the Cash Book. Prepare a Bank Reconciliation Statement.	M 1.03	U

VII	Rectify the following errors: - Credit sales to Mohan Rs. 7,000 were not recorded. - Credit purchases from Rohan Rs. 9,000 were not recorded. - Goods returned to Rakesh Rs. 4,000 were not recorded. - Goods returned from Mahesh Rs. 1,000 were not recorded OR	M 2.02	U																												
VIII	Rectify the following errors: - Credit sales to Mohan Rs.7,000 were recorded as Rs.700. - Credit purchases from Rohan Rs.9,000 were recorded as Rs. 900. - Goods returned to Rakesh Rs. 4,000 were recorded as Rs.400.. - Goods returned from Mahesh Rs. 1,000 were recorded as Rs.100	M 2.02	U																												
IX	From the following particulars presented by Sharma for the year ended 31st March, 2017, prepare profit and loss account. <table border="1" style="width: 100%; border-collapse: collapse;"> <thead> <tr> <th style="width: 35%;">Particulars</th><th style="width: 10%;">₹</th><th style="width: 35%;">Particulars</th><th style="width: 10%;">₹</th></tr> </thead> <tbody> <tr> <td>Gross profit</td><td>1,00,000</td><td>Interest received</td><td>6,000</td></tr> <tr> <td>Rent paid</td><td>22,000</td><td>Bad debts</td><td>2,000</td></tr> <tr> <td>Salaries</td><td>10,000</td><td>Provision for bad debts (1-4-2016)</td><td>4,000</td></tr> <tr> <td>Commission (Cr.)</td><td>12,000</td><td>Sundry debtors</td><td>40,000</td></tr> <tr> <td>Discount received</td><td>2,000</td><td>Buildings</td><td>80,000</td></tr> <tr> <td>Insurance premium paid</td><td>8,000</td><td></td><td></td></tr> </tbody> </table> Adjustments: - Outstanding salaries amounted to ₹ 4,000 - Rent paid for 11 months - Interest due but not received amounted to ₹. 2,000 - Prepaid insurance amounted to ₹ 2,000 - Depreciate buildings by 10% - Further bad debts amounted to ₹ 3,000 and make a provision for bad debts @ 5% on sundry debtors - Commission received in advance amounted to ₹. 2,000 OR	Particulars	₹	Particulars	₹	Gross profit	1,00,000	Interest received	6,000	Rent paid	22,000	Bad debts	2,000	Salaries	10,000	Provision for bad debts (1-4-2016)	4,000	Commission (Cr.)	12,000	Sundry debtors	40,000	Discount received	2,000	Buildings	80,000	Insurance premium paid	8,000			M 3.04	A
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X	From the following balances as on 31st December, 2017, prepare profit and loss account.	M 3.04	A																												

	<table> <tr> <th>Particulars</th><th>₹</th><th>Particulars</th><th>₹</th></tr> <tr> <td>Gross profit</td><td>50,000</td><td>Rent received</td><td>2,000</td></tr> <tr> <td>Salaries</td><td>18,000</td><td>Discount received</td><td>3,000</td></tr> <tr> <td>Office rent paid</td><td>12,000</td><td>Carriage outwards</td><td>2,500</td></tr> <tr> <td>Advertisement</td><td>8,000</td><td>Fire insurance premium</td><td>6,500</td></tr> </table> Adjustments: - Rent accrued but not yet received ₹ 500 - Fire insurance premium prepaid to the extent of ₹. 1,500 - Provide manager's commission at 10% on profits before charging such commission.	Particulars	₹	Particulars	₹	Gross profit	50,000	Rent received	2,000	Salaries	18,000	Discount received	3,000	Office rent paid	12,000	Carriage outwards	2,500	Advertisement	8,000	Fire insurance premium	6,500																																						
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Office rent paid	12,000	Carriage outwards	2,500																																																								
Advertisement	8,000	Fire insurance premium	6,500																																																								
XI	The following balances were extracted from the books of Thomas as on 31st March, 2018 <table> <tr> <th>Particulars</th><th>₹</th><th>Particulars</th><th>₹</th></tr> <tr> <td>Purchases</td><td>75,000</td><td>Capital</td><td>60,000</td></tr> <tr> <td>Returns inward</td><td>2,000</td><td>Creditors</td><td>30,000</td></tr> <tr> <td>Opening stock</td><td>10,000</td><td>Sales</td><td>1,20,000</td></tr> <tr> <td>Freight inwards</td><td>4,000</td><td>Returns outward</td><td>1,000</td></tr> <tr> <td>Wages</td><td>2,000</td><td></td><td></td></tr> <tr> <td>Investments</td><td>10,000</td><td></td><td></td></tr> <tr> <td>Bank charges</td><td>1,000</td><td></td><td></td></tr> <tr> <td>Land</td><td>30,000</td><td></td><td></td></tr> <tr> <td>Machinery</td><td>30,000</td><td></td><td></td></tr> <tr> <td>Building</td><td>25,000</td><td></td><td></td></tr> <tr> <td>Cash at bank</td><td>18,000</td><td></td><td></td></tr> <tr> <td>Cash in hand</td><td>4,000</td><td></td><td></td></tr> <tr> <td></td><td>2,11,000</td><td></td><td>2,11,000</td></tr> </table> Additional information: - Closing stock ₹. 9,000 - Provide depreciation @ 10% on machinery - Interest accrued on investment ₹. 2,000 Prepare trading account, profit and loss account and balance sheet. OR	Particulars	₹	Particulars	₹	Purchases	75,000	Capital	60,000	Returns inward	2,000	Creditors	30,000	Opening stock	10,000	Sales	1,20,000	Freight inwards	4,000	Returns outward	1,000	Wages	2,000			Investments	10,000			Bank charges	1,000			Land	30,000			Machinery	30,000			Building	25,000			Cash at bank	18,000			Cash in hand	4,000				2,11,000		2,11,000	M 3.04	A
Particulars	₹	Particulars	₹																																																								
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	2,11,000		2,11,000																																																								

XII	<table border="1" data-bbox="331 218 1135 638"> <thead> <tr> <th>Particulars</th><th>₹</th><th>Particulars</th><th>₹</th></tr> </thead> <tbody> <tr> <td>Purchases</td><td>10,000</td><td>Sales</td><td>15,100</td></tr> <tr> <td>Wages</td><td>600</td><td>Commission received</td><td>1,900</td></tr> <tr> <td>Freight inwards</td><td>750</td><td>Rent received</td><td>600</td></tr> <tr> <td>Advertisement</td><td>500</td><td>Creditors</td><td>2,400</td></tr> <tr> <td>Carriage outwards</td><td>400</td><td>Capital</td><td>5,000</td></tr> <tr> <td>Cash</td><td>1,200</td><td></td><td></td></tr> <tr> <td>Machinery</td><td>8,000</td><td></td><td></td></tr> <tr> <td>Debtors</td><td>2,250</td><td></td><td></td></tr> <tr> <td>Bills receivable</td><td>300</td><td></td><td></td></tr> <tr> <td>Stock on 1st January, 2016</td><td>1,000</td><td></td><td></td></tr> <tr> <td></td><td>25,000</td><td></td><td>25,000</td></tr> </tbody> </table> Prepare the trading and profit and loss account for the year ended 31st March, 2016 and the balance sheet as on that date after adjusting the following: - Commission received in advance ₹. 400 - Advertisement paid in advance ₹. 150 - Wages outstanding ₹ 200 - Closing stock on 31st March 2016 ₹ 2,100	Particulars	₹	Particulars	₹	Purchases	10,000	Sales	15,100	Wages	600	Commission received	1,900	Freight inwards	750	Rent received	600	Advertisement	500	Creditors	2,400	Carriage outwards	400	Capital	5,000	Cash	1,200			Machinery	8,000			Debtors	2,250			Bills receivable	300			Stock on 1st January, 2016	1,000				25,000		25,000	M 3.04	A
Particulars	₹	Particulars	₹																																																
Purchases	10,000	Sales	15,100																																																
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Stock on 1st January, 2016	1,000																																																		
	25,000		25,000																																																
XIII	On Feb. 6, 2017 <i>A</i> sold goods for ₹ 1,00,000 to <i>B</i>. <i>B</i> paid 40% immediately on which <i>A</i> allowed a cash discount of ₹ 500. For the balance <i>A</i> drew a bill on <i>B</i> payable after 30 days. Due date of bill was a public holiday and the bill was met as per the provisions of Negotiable Instrument Act. Journalise the above transactions in the books of <i>A</i> and <i>B</i>. OR	M 4.04	U																																																
XIV	On 15th February, 2017, <i>X</i> sold goods to <i>Y</i> for ₹ 6,000. On the same day, <i>Y</i> accepted a bill drawn upon him by <i>X</i> for three months for ₹ 6,000. <i>X</i> immediately discounted the bill at 15% p.a. at his bank and <i>Y</i> met the bill on maturity. Make Journal entries in the books of both the parties.	M 4.04	U																																																

SCHEME OF VALUATION
(Scoring Indicators)
FINANCIAL ACCOUNTING-II
MODEL QUESTION PAPER – SET-1

Revision:		Course Code:		
Course Title: FINANCIAL ACCOUNTING - II				
Qn. No.	Scoring Indicator			
<u>PART – A</u>				
1	B			
2	A			
3	D			
4	D			
5	B			
6	A			
7	A			
8	C			9
9	A			
PART B				
1	BRS is prepared on a periodical basis for checking that bank related transactions are recorded properly in cash book's bank column and also by the bank in their books. BRS helps to detect errors in recording transactions and determining the exact bank balance as on a specified date.	3		
2	Capital Expenditure is that expenditure which is incurred For acquiring or bringing into existence an asset or advantage of an enduring benefit Revenue Expenditure is that expenditure which is incurred for maintaining Productivity or earning capacity of a business. Deferred Revenue Expenditure is that expenditure which yields benefits which extend beyond a current accounting period	3		
3	36000 X6/100 =2160+3000-4800= <u>360</u>	3		
4	Balance as per pass book = 10380	3		
5	Debit 450 in P&L			
6	1 Anand 480 Purchase a/c 240 Sales a/c 240 2 Sales a/c 2500 Machinery a/c 2500 3 Repairs a/c 300 buildings a/c 300	3		
7	Errors of omission. commission, one sided errors, two sided errors etc.	3		
8	Rajan 3000 Sales 3000 B/R 3000 Rajan 3000 Bank a/c 2910 Discount a/c 90 B/R 3000	3		
9	Bill sent for collection a/c	3		

	B/R a/c			3	
	Bank a/c				
	Bill sent for collection			3	
10	Cash discounts refer to an incentive that a seller offers to a buyer in return for paying a bill before the scheduled due date. In a cash discount, the seller will usually reduce the amount that the buyer owes by either a small percentage or a set dollar amount.				
	PART C				
III	1. Cheques issued but not yet presented for payment in the bank 2. Cheque paid into the bank for collection but not yet credited/collected by the bank 3. Cheques paid into the bank for collection but dishonoured by the bank 4. Interest allowed by the bank 5. Direct payment through bank 6. Errors 7. Direct payment into the bank by a customer			7	
IV	OR Answer 9000+ 3000 <u>780</u> 12780- 2000 <u>580</u> Balance as per Pass book <u>10200</u>			7	
V	BALANCE AS PER CASH BOOK 7130			7	
VI	BALANCE AS PER CASH BOOK 59000			7	
VII	Errors can broadly be classified in two categories: 1. Errors of Omission: If a transaction has not been entered in the books of account either wholly or partially is known as an error of omission. 2. Errors of Commission: These refer to a transaction being incorrectly recorded in the journal or inaccurately posted in the ledger. 3. Compensating Errors: These errors arise when two or more errors exactly nullify the effect of one another. Thus, the errors are such that their overall effect on the trial balance is nil. 4. Error of Principle: These arise when some fundamental principles of sound accountancy are not strictly adhered to in recording a transaction. OR			7	
VIII	Discount a/c 25 Rent a/c 25 Dinesh 250 Mahesh 250 Rent a/c 260 Landlords a/c 260 Rajesh Suspence a/c 100				

IX

Rajesh 1000
Suspence a/c 1000
Suspense a/c 310
Purchases 310
Suspense a/c 310
Purchase returns a/c 310

Profit and Loss Account
for the year ended March 31, 2018

Dr.

Cr.

Particulars	Amount (Rs)	Particulars	Amount (Rs)
Salaries	8,000	Gross Profit	10,900
Repairs	1,900	Net Loss (<i>Balancing Figure</i>)	24,900
Rent	4,500		
<i>Add: Unpaid Rent</i>	500		
Bad Debts	5,000		
Depreciation on:			
Plant and machinery	12,000		
Delivery Vehicle	3,900		
	15,900		
	35,800		35,800

Balance Sheet
as on March 31, 2018

Liabilities	Amount (Rs)	Assets	Amount (Rs)
Capital	1,90,000	Fixed Assets	
<i>Less: Drawings</i>	(7,000)	Plant and Machinery	1,20,000
<i>Less: Net Loss</i>	(24,900)	<i>Less: 10% Depreciation</i>	(12,000)
		Delivery Vehicle	26,000
	1,58,100	<i>Less: 15% Depreciation</i>	(3,900)
			22,100
Current Liabilities		Current Assets	
Sundry Creditors	26,000	Closing Stock	16,000
Bills Payable	23,500	Sundry Debtors	36,000
Unpaid Rent	500	Cash at Bank	26,000
	2,08,100		2,08,100

7

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X		0																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																			
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XI

Profit and Loss Account

for the year ended March 31, 2018

Dr.

Cr.

Particulars	Amount t (Rs)	Particulars	Amount (Rs)
Rent 45,000		Gross Profit	8,95,000
Less: Prepaid Rent (10,000)	35,000	Interest Received	30,000
Commission	25,000		
General Expenses	80,000		
Salaries 50,000			
Add: Outstanding Salaries 45,000	95,000		
Depreciation on Machinery	40,000		
Net Profit (Balancing Figure)	6,50,00		
	0		
	9,25,00		9,25,000
	0		

Balance Sheet

as on March 31, 2018

Liabilities	Amount (Rs)	Assets	Amount (Rs)
Capital 9,00,00		Fixed Assets	
0			
Add: Net Profit 6,50,00	15,50,00	Machinery 4,00,00	
0	0	0	
Current Liabilities		Less: 10% Depreciation (40,000)	3,60,000
Sundry Creditors 4,50,000		Current Assets	
Outstanding Salary 45,000		Closing Stock	8,00,000
Outstanding Wages 5,000		Sundry Debtors	4,40,000
		Bills Receivable	2,90,000
		Prepaid Rent	10,000
		Cash at Bank	1,00,000
		Cash in Hand	50,000
	20,50,00		20,50,000
	0		

OR

Profit & Loss Account

4

3

XII

4

Dr.

3

XIII

05 Jan Bills Receivable A/c	Dr.	7,000
-----------------------------	-----	-------

		To Manju		7,000		
	05 Jan	Bank A/c	Dr.	6,860		
		Discount A/c	Dr.	140	7,000	
		To Bills Receivable A/c				
	<u>MANJU</u>					
	05 Jan	Purchases A/c	Dr.	7,000		
		To Vishal		7,000		
		(purchasing from Vishal)				
	05 Jan	Vishal	Dr.	7,000		
		To Bills Payable A/c		7,000		
		(Bill drawn by Vishal acknowledged)				
	08 Mar	Bills Payable A/c	Dr.	7,000		
		To Bank A/c		7,000		
		(Bill Payable Amount paid to bank on maturity)				
					OR	
	<u>In the books of Parvathi</u>					
	01 Jan	Shankar	Dr.	8,000		
		To Sales A/c		8,000		
		(Sold goods to Shankar)				
	01 Jan	Bills Receivable A/c	Dr.	8,000		
		To Shankar		8,000		
		(Shankar sent Promissory Note for three months)				
	05 Apr	Cash A/c	Dr.	8,000		
		To Bills Receivable A/c		8,000		
		(Cash received for Promissory Note one day after the Maturity date on account of holiday declared by Govt.)				
	<u>In the books of Shankar</u>					
	01 Jan	Purchases A/c	Dr.	8,000		
		To Parvathi		8,000		
		(Goods purchased from Parvati)				
	01 Jan	Parvathi	Dr.	8,000		
		To Bills Payable A/c		8,000		
		(Promissory note for three months sent to Parvathi)				
	05 Apr	Bills Payable A/c	Dr.	8,000		
		To Cash A/c		8,000		
		(Cash paid on maturity of promissory note)				
XI						
V						

8	should be reversed.	3																																				
9	The prepaid portion of the expense (unexpired) is reduced from the total expense in the profit & loss account. ... The prepaid expense is shown on the assets side of the balance sheet under the head "Current Assets".	3																																				
10	GP =525000 GP=98000	3																																				
III	PART C <table> <tr> <td>i) Bank Overdraft as per Bank Statement (Dr)</td><td></td><td>Rs. 17,000</td></tr> <tr> <td><i>Add:</i></td><td></td><td></td></tr> <tr> <td>ii) Check Issued but not encashed</td><td>2,200</td><td></td></tr> <tr> <td>iii) Dividend on shares collected by bank</td><td>2,300</td><td></td></tr> <tr> <td>iv) Interest charged recorded twice</td><td>500</td><td></td></tr> <tr> <td>v) Check deposited not entered cash book</td><td>3,400</td><td>8,400</td></tr> <tr> <td></td><td></td><td>25,400</td></tr> <tr> <td><i>Less:</i></td><td></td><td></td></tr> <tr> <td>vi) Credit side of bank column in cash book cast short</td><td>1,000</td><td></td></tr> <tr> <td>vii) Clubs dues paid by bank</td><td>1,200</td><td></td></tr> <tr> <td>vii) Uncredited check due to outstation</td><td>3,900</td><td>(6,100)</td></tr> <tr> <td>Balance as per Cash Book (Cr)</td><td></td><td>Rs. 19,300</td></tr> </table>	i) Bank Overdraft as per Bank Statement (Dr)		Rs. 17,000	<i>Add:</i>			ii) Check Issued but not encashed	2,200		iii) Dividend on shares collected by bank	2,300		iv) Interest charged recorded twice	500		v) Check deposited not entered cash book	3,400	8,400			25,400	<i>Less:</i>			vi) Credit side of bank column in cash book cast short	1,000		vii) Clubs dues paid by bank	1,200		vii) Uncredited check due to outstation	3,900	(6,100)	Balance as per Cash Book (Cr)		Rs. 19,300	7
i) Bank Overdraft as per Bank Statement (Dr)		Rs. 17,000																																				
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IV	Bank Reconciliation Statement <i>as on June 30, 2014</i> <table> <tr> <td>Balance as per Cash Book</td><td>12,000</td><td></td></tr> <tr> <td><i>Add:</i> 2. Cheques issued but not presented (9,200 – 7,000)</td><td>2,200</td><td></td></tr> <tr> <td>3. Receipt column of Cash Book was undercasted</td><td>0</td><td></td></tr> <tr> <td>4. Interest on investment collected by Bank</td><td>200</td><td></td></tr> <tr> <td>5. Amount directly deposited by Customer</td><td>330</td><td></td></tr> <tr> <td><i>Less:</i> 1. Cheques deposited but not credited (8,000 – 6,500)</td><td>3,000</td><td></td></tr> <tr> <td>4. Bank Charges</td><td>0</td><td></td></tr> <tr> <td>Credit Balance as per Pass Book</td><td></td><td>1,500</td></tr> <tr> <td></td><td></td><td>60</td></tr> </table>	Balance as per Cash Book	12,000		<i>Add:</i> 2. Cheques issued but not presented (9,200 – 7,000)	2,200		3. Receipt column of Cash Book was undercasted	0		4. Interest on investment collected by Bank	200		5. Amount directly deposited by Customer	330		<i>Less:</i> 1. Cheques deposited but not credited (8,000 – 6,500)	3,000		4. Bank Charges	0		Credit Balance as per Pass Book		1,500			60	7									
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4. Bank Charges	0																																					
Credit Balance as per Pass Book		1,500																																				
		60																																				

V			16,170	
		17,730	17,730	
	Bank Reconciliation Statement as on June 30, 2014			
		Particulars	Plus Items	Minus Items (Rs)
		Debit Balance as per Cash Book	1,500	
		Add: 1. Cheques issued but not presented for payment	1,300	
		3. Interest and Dividend collected by Bank	580	
		Less: 2. Cheques deposited but not yet credited by the bank		4,000
		4. Life Insurance Premium paid by Bank		750
		5. Bank charges not recorded in Cash Book		25
		Debit Balance (Overdraft) as per Pass Book	1,395	
			4,775	4,775
VI	Bank Reconciliation Statement as on June 30, 2014			
		Particulars	Plus Items	Minus Items
		Credit Balance (Overdraft) as per Cash Book		2,500
		Add: 2. Cheques issued but not presented (10,000 – 3,600)	6,400	

VII	5. Amount directly deposited by customer	1,000			
	<i>Less:</i> 1. Cheque paid into bank but not credited (14,600 – 12,200)		2,400	7	
	4. Bank charges		10		
	4. Bank interest		50		
	3. Cheque not sent to bank for collection		500		
	6. Insurance premium paid by bank as per standing instructions		400		
	Credit Balance as per Pass Book		1,540		
		7,400	7,400		
	Mohan Dr. 7,000 To Sales A/c7000 (Credit Sales to Mohan, Error rectification recording, not recorded earlier)			7	
	ii. Purchases Account Dr. 9,000 To Rohan 9000 (Credit purchases from Rohan, Error rectification recording, not recorded earlier)				
VIII	iii. Rakesh Dr. 4,000 To Purchases Return A/c 4,000 (Purchases return to Rakesh, Error rectification recording, not recorded earlier)				
	iv. Sales Return A/cDr. 1,000 To Mahesh 1,000 (Purchases return from Mahesh, Error rectification recording, not recorded earlier)			7	
	Mohan's Account Dr. 6,300 To Sales A/c6300 (Credit Sales to Mohan, Error rectification recording, ₹ 7,000 was recorded as ₹ 700)				
	Purchases Account Dr. 8,100 To Rohan's A/c8100 (Credit purchases from Rohan, Error rectification recording, ₹ 9,000 was recorded as ₹ 900)				
	Rakesh's Account Dr. 3,600 To purchases return A/c3600 (Goods returned to Rakesh, Error rectification recording, ₹ 4,000 was recorded as ₹ 400)				
	SalesReturnAccountDr. 900 To Mahesh's A/c900 (Goods returned from Mahesh, Error rectification recording, ₹ 1,000 was recorded as ₹ 100)				
IX					

X

Dr. Profit and Loss Account for the year ended 31st March, 2017 Cr.					
Particulars	₹	₹	Particulars	₹	₹
To Rent	22,000		By Gross profit b/d	-	1,00,000
Add: Outstanding (22,000x1/11)	2,000	24,000	By Commission	12,000	
	10,000		Less: Received in advance	2,000	10,000
To Salaries	4,000			6,000	2,000
Add: Outstanding	8,000	14,000	By Discount received	2,000	8,000
To Insurance premium	2,000		By Interest received		
Less: Prepaid insurance	1,900	6,000	Add: Accrued		
To Provision for bad and doubtful debts (closing)	2,000				
Add: Bad debts	3,000				
Add: Further bad debts	6,900				
	4,000				
Less: Opening provision for bad and doubtful debts		2,900			
To Depreciation on building (80,000x10%)		8,000			
To Net profit (transferred to capital A/c)		65,100			
		1,20,000			1,20,000

7

7

Dr. Profit and Loss Account for the year ended 31st December, 2017 Cr.					
Particulars	₹	₹	Particulars	₹	₹
To Salaries		18,000	By Gross profit b/d		50,000
To Office rent		12,000	By Rent received	2,000	
To Advertisement		8,000	Add: Rent accrued	500	2,500
To Carriage outwards		2,500	By Discount received		3,000
To Fire insurance premium	6,500				
Less: Prepaid	1,500	5,000			
To Manager's commission		1,000			
To Net profit (transferred to capital account)	-	9,000			
		55,500			55,500

$$\text{Manager's Commission} = \text{Net profit before charging commission} \times \frac{\text{Rate of commission}}{100}$$

$$\text{Manager's commission} = 10,000 \times \frac{10}{100} = 1,000$$

XI

In the books of Thomas

4

Dr. Trading and Profit and Loss Account for the year ended 31st March, 2018 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening stock		10,000	By Sales	1,20,000	
To Purchases	75,000		Less: Returns inward	2,000	1,18,000
Less: Returns outward	1,000	74,000			
To Freight inwards		4,000	By Closing stock		9,000
To Wages		2,000			
To Gross profit c/d		37,000			
		1,27,000			1,27,000
To Depreciation on machinery		3,000	By Gross Profit b/d		37,000
To Bank charges		1,000	By Accrued interest on investment		2,000
To Net profit (transferred to capital a/c)		35,000			
		39,000			39,000

3

Balance Sheet as on 31st March, 2018

Particulars	₹	₹	Particulars	₹	₹
Capital	60,000		Land		30,000
Add: Net profit	35,000	95,000	Building		25,000
Creditors		30,000	Machinery	30,000	
			Less: Depreciation	3,000	27,000
			Investment	10,000	
			Add: Accrued interest	2,000	12,000
			Stock-in-trade		9,000
			Cash at bank		18,000
			Cash in hand		4,000
		1,25,000			1,25,000

4

XII

XIII

In the books of Nagarajan
Dr. Trading and Profit and Loss Account for the year ended 31st March, 2016 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Opening stock		1,000	By Sales		15,100
To Purchases		10,000	By Closing stock		2,100
To Wages	600				
Add: Outstanding	200	800			
To Freight inwards		750			
To Gross profit c/d		4,650			
		17,200			17,200
To Advertisement	500		By Gross profit b/d		4,650
Less: Prepaid advertisement	150	350	By Commission received	1,900	
		400	Less: Received in advance	400	1,500
To Carriage outwards					600
To Net profit (transferred to capital a/c)		6,000	By Rent received		
		6,750			6,750

Balance Sheet as on 31st March, 2016

Particulars	₹	₹	Particulars	₹	₹
Capital	5,000		Machinery		8,000
Add: Net profit	6,000	11,000	Stock in trade		2,100
Creditors		2,400	Debtors		300
Commission received in advance		400	Bills receivable		2,250
Outstanding wages		200	Advertisement prepaid		150
		14,000	Cash		1,200
					14,000

**Books of A
Journal**

Date	Particulars	L.F	Debit Amount (Rs)	Credit Amount (Rs)
2017 Feb. 06	B Dr To Sales A/c (Goods sold to B)		1,00,000	1,00,000
Feb. 06	Cash A/c Dr. Discount Allowed A/c Dr. Bills Receivable A/c Dr. To B (B accepted the bill)		39,500 500 60,000	1,00,000
Mar.	Cash A/c Dr.		60,000	

XIV

7

3

4

10	To Bills Receivable c (Bill honoured on maturity)			60,000		
Books of B						
Date	Particulars	L.F.	Debit Amount (Rs)	Credit Amount (Rs)		
2017 Feb. 06	Purchases A/c Dr. To A (Goods purchased from		1,00,000	1,00,000		
Feb. 06	A Dr. To Cash A/c To Discount Received A/c To Bills Payable A/c (Bill drawn by A, accepted)		1,00,000	39,500 500 60,000	3	
Mar. 10	Bills Payable A/c Dr. To Cash A/c (Bill honoured on maturity)		60,000	60,000		
Books of X Journal						
Date	Particulars	L.F.	Debit Amount (Rs)	Credit Amount (Rs)		
2017 Feb. 15	Y Dr. To Sales A/c		6,000	6,000		
Feb. 15	Bills Receivable A/c Dr. To Y		6,000	6,000		
Feb. 15	Bank A/c Dr. Discounting Charges A/c To Bills Receivable A/c		5,775 225	6,000	3	

Books of Y Journal									
	Date	Particulars	L.F.	Debit Amount (Rs)	Credit Amount (Rs)				
2017	Feb. 15	Purchases A/c Dr. To X		6,000	6,000				
	Feb. 15	X Dr. To Bills Payable A/c		6,000	6,000				
	May 18	Bills Payable A/c Dr. To Cash A/c		6,000	6,000				